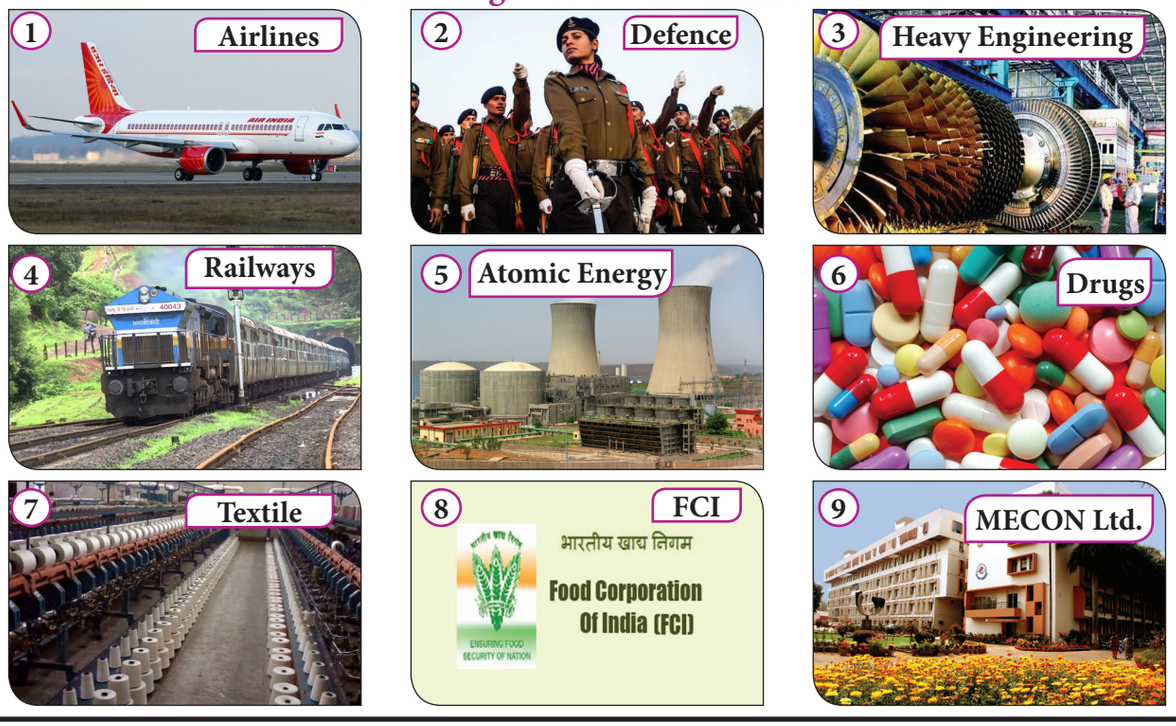
Nine Categories of Public Sectors



Classification of Industries

- The public sector in India owes its origin in the 1956 Industrial policy resolution of the Government of India. This **1956** resolution classified industries into three categories. The Industries which would be exclusively owned by the state are referred to as **Schedule-A**
- The industries in which the private sector could supplement the efforts of the state sector, with the state taking the sole responsibility for starting new units which are specific in **Schedule-B.**
- The remaining industries which were in the private sector are mentioned in **Schedule-C**

Public Sector is divided into the following nine categories

1) Public sector enterprises must supply essential infrastructure for economic development which are known as primary public utilities which include the following: Airlines, Shipping, Railways, Power Generation, Tele communication etc.
2) Public sector enterprises also to have control of the "commanding heights of the economy" e.g. Defence, Banks, Coalmines, Oil, Steel etc.
3) They are to play an entrepreneurial role which is, in other words, called capital intensive industries: e.g., Iron ore, Petro-Chemicals, Fertilizer, Mining, Ship - Building. Heavy Engineering etc.
4) Public sector enterprises under Government monopoly which includes: Telecommunication equipment. Defence production. Railways, Rolling Stock etc.
5) Public sector enterprises which are exclusively meant for High Technology industries, e.g.: Atomic energy.
6) Consumer oriented public sector undertakings. eg. Drug, Paper, Hotels etc.
7) Public Sector enterprise which is set up in order to take over the sick private units, e.g.: Textile, Engineering etc.
8) Public sector enterprises which are set up as Trade Corporation, e.g.: FCI, CCI etc.
9) Public sector enterprises which serves as a consultancy and engineering service etc. e.g. MECON.

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